

THIS ISSUE TRAINS · READING WHAT A ROTATION TELLS YOU

Money and markets

The Dow Jones hit record highs in early July 2026 while tech stocks sold off sharply. The Dow climbed 8.9 percent in the first half of the year, while memory chipmaker Micron fell over 10 percent in a single session despite being up over 260 percent for the year. Analysts called it the Great Rotation: money leaving the most expensive stocks and flowing into cheaper, steadier ones.

A rotation is not a crash. Nothing is being destroyed. Capital is being redeployed from where it has already been rewarded to where it has not yet been priced in. The market is not panicking. It is rebalancing.

The SCD takeaway: money moving from one place to another is information, not chaos. Ask where it is going, not just where it is leaving.

Sources: CNBC, July 1, 2026; TheStreet, July 1, 2026.

Engineering corner

Digital twins are changing how engineers test without breaking things. A digital twin is a virtual replica of a physical system, a jet engine, a power grid, a building, that updates in real time using sensor data from the real thing. Engineers can test changes, simulate failures, and optimise performance on the twin before touching the original. The value is not the simulation itself but the fact that experiments that would be dangerous or expensive in reality cost almost nothing in the digital copy.

The SCD takeaway: the cheapest experiment is the one you run on a copy. Good engineering tests ideas where failure is free before committing where failure is expensive.

Source: University of San Diego, 15 Future Engineering Trends for 2026.

Your move

Rotation in finance and simulation in engineering share a principle: move resources (money, effort, risk) to where they produce the most for the least cost. The investor rotates capital to undervalued stocks. The engineer rotates testing to a digital copy. Both are reallocating, not retreating.

This week, on your own: pick one upcoming test or deadline. Before starting your real attempt, do a full practice run: a timed mock exam, a draft presentation to yourself, a trial version. Note what the practice run revealed that you would have discovered too late otherwise.